

For this additional reason the demurrer is sustained as to the fourth and fifth causes of action.

Sick Leave Claim. County argues that the third cause of action, for failure to pay sick leave, also violates the Constitution because it intrudes on the County's authority to provide for the compensation of its employees. There are no appellate cases discussing sick leave and how it applies to a county's authority over employee compensation. However, based on the reasoning in *Dimon*, *Curcini*, and *In re Work Uniform Cases*, it appears that the statutes governing sick leave, which address the payout for sick leave and compensation for failure to allow the taking of sick leave (*Labor Code* §§ 233, 246, and 246.5), are covered by the County's exclusive constitutional authority regarding compensation and therefore the demurrer to the third cause of action is sustained for this additional reason.

Appearances requested to discuss whether Garcia should have leave to amend any of these causes of action.

4.

CASE #	CASE NAME	HEARING NAME
CVRI2602077	DELACRUZ vs BEENA BEAUTY HOLDING, INC.	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Plaintiff Yadira Delacruz brings this wage and hour action against defendants Deena Beauty Holding, Inc. and Planet Beauty, Inc. (collectively, Deena Beauty). The complaint includes a derivative claim for violation of the Unfair Competition Law and class claims.

Deena Beauty moves to compel arbitration of Delacruz's individual claims, to dismiss or strike her class claims and her wage statement cause of action, and to stay the case. They argue that the FAA applies to the agreement, that the fourth cause of action is time-barred, and that Delacruz's counsel agreed to dismiss it.

Delacruz does not challenge the dismissal of the fourth cause of action and agrees not to bring a PAGA cause of action. However, she contends that the agreement is so unconscionable that it should not be enforced because it is a contract of adhesion, that it is overbroad as to scope, requiring her to arbitrate claims that have nothing to do with the parties' employment relationship, is of indefinite duration, and lacks mutuality as to specified third parties.

Request for Judicial Notice. Delacruz requests judicial notice of Deena Beauty's website, store locator, and location and addresses of 15 of their stores. It does not appear that Deena Beauty objects. Grant the request for judicial notice.

Procedure. *California Code of Civil Procedure* section 1281.2 describes the process for deciding a petition to compel arbitration. "The clear purpose and effect of section 1281.2 is to require the superior court to determine in advance whether there is a duty to arbitrate the controversy The performance of this duty necessarily requires the court to examine and, to a limited extent, construe the underlying agreement." *Freeman v. State Farm Mutual Automobile Insurance Co.* (1975) 14 Cal.3d 473, 480. "In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability Parties may submit declarations when factual

issues are tendered with a motion to compel arbitration.” *Engineers & Architects Assn. v. Community Development Dept.* (1994) 30 Cal.App.4th 644, 653. In the summary proceedings on a motion to compel arbitration, “the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.

A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. *Freeman, supra*, 14 Cal.3d 473, 479. The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. *Cal. R. Ct.* 3.1330; *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218-19. This does not require the petitioner to authenticate the agreement or do anything more than allege its existence and attach a copy. *Id.* The burden then shifts to the opposing party to demonstrate the falsity of the purported agreement. *Id.* “[U]nder this rule, unless there is a dispute over authenticity, it is sufficient for a party moving to compel arbitration to recite the terms of the governing provision.” *Sprunk v. Prisma LLC* (2017) 14 Cal.App.5th 785, 793. A petitioner is not required to authenticate the respondent’s signature on an arbitration agreement as a preliminary matter in the moving papers and is only required to do so if the signature is challenged. *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 846.

In *Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755, the court of appeal affirmed that a moving party need only attach a or quote the terms of an arbitration agreement. The burden shifts to plaintiff to dispute its authenticity. As noted above, no evidence of the agreement is required unless there is a dispute about its authenticity, which requires the party opposing the motion to offer evidence that it did not sign the agreement. Evidence that a party does not recall signing an arbitration agreement or was not given time to review the agreement is not sufficient to create a factual dispute as to whether the party signed the agreement. *Iyere, supra*, at 756-759.

Beena Beauty Has Shown the Existence of an Agreement to Arbitrate. With its moving papers, Beena Beauty included a copy of the alleged arbitration agreement. Declaration of Amy Bueno-Ayala filed June 12, 2026, ¶ 15 and Ex. A. This met its initial burden. The agreement appears to have Delacruz’s handwritten signature.

In her opposition, Delacruz does not dispute that she signed the agreement. She states that during her hire, at the beginning of her first day of work, she was given a packet of “various onboarding forms and paperwork . . . to review and sign.” The person who gave the forms to her was “Amy.” Although she does not specifically state that she signed the arbitration agreement, the declaration gives the impression that she signed all of the documents, including the arbitration agreement, she was given because she was required to do so. Delacruz Decl., ¶ 4 (“at the time of signing the onboarding forms and paperwork . . . , I was not under the impression that I had the option to either accept or decline any terms or agree to arbitration I was simply signing *all* pre-printed forms as written”) (emphasis added).

Neither Delacruz’s declaration nor the opposition memorandum state that she did not sign the arbitration agreement.

Therefore, the Court finds that Beena Beauty has met its burden of proving the existence of an arbitration agreement.

The FAA Applies to the Agreement. In its moving papers, Beena Beauty argued that the FAA applies to the agreement. Moving memorandum at 12, 14-15. The FAA governs arbitration agreements in written contracts involving interstate commerce, and provides that arbitration agreements are valid, irrevocable, and enforceable unless there are grounds that exist at law or in equity for the revocation of any contract. 9 USC § 2; *Rittmann v. Amazon.com, Inc.* (9th Cir. 2020) 971 F.3d 904, 909. To assure uniform results as to arbitrability of disputes subject to the Act, conflicting state law is preempted under the Supremacy Clause. *Southland v. Corp. v. Keating* (1984) 465 U.S. 1, 12. The party claiming that the contract involves interstate commerce and that the FAA preempts state law has the burden of proving that the underlying transaction involved interstate commerce. *Woolls v. Superior Court (Turner)* (2005) 127 Cal.App.4th 197, 211-214.

The FAA applies when an arbitration agreement expressly states that it is governed by the FAA. *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355; *Aviation Data, Inc. v. American Express Travel Related Services Co., Inc.* (2007) 152 Cal.App.4th 1522, 1534-1535. As the United States Supreme Court held in *Volt Information Sciences v. Leland Stanford Jr. University* (1989) 489 U.S. 468, arbitration is a matter of consent and “parties are generally free to structure their arbitration agreements as they see fit. . . . Just as they may limit by contract the issues which they will arbitrate, so too may they specify by contract the rules under which that arbitration will be conducted.” *Id.* at 479 (citation omitted).

The agreement states that “any arbitration shall be in accordance with the [FAA]”.

In addition, Beena Beauty submits evidence concerning its business operations. It operates beauty stores and sells beauty, skincare, haircare, cosmetics, fragrance and related products in California, but purchases, receives, and sells products that are manufactured, distributed, and shipped across state lines. Many of the products come from manufacturers, suppliers, or distributors located outside California. Beena Beauty also purchases goods, supplies, equipment, software and services from vendors located outside California. It uses and processes customer payments using interstate banking networks. Declaration of Tracy Tsuzuki filed June 12, 2026, ¶¶s 10-16.

Delacruz’s opposition memorandum did not dispute that the FAA applies to the agreement.

Therefore, the Court finds that the FAA applies.

Policy Favoring Arbitration. In the moving papers, Beena Beauty argues that “the United States Supreme Court has repeatedly held that the FAA reflects a strong federal policy favoring arbitration and requires courts to place arbitration agreements on equal footing with other contracts.” Opening Memorandum at 14. This policy, however, does not mean that arbitration is favored over litigation in court. Indeed, as the California Supreme Court explained in *Fuentes v. Empire Nissan, Inc.* (2026) 19 Cal.5th 93, 110, the California Supreme Court explained that relying on a policy favoring arbitration “as an interpretive presumption” was “misplaced,” citing *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 579. By relying on “the principle that the law strongly favors arbitration,” the court of appeal erred. *Id.*

Thus, the Court will treat the arbitration agreement as enforceable as any other contract but will not apply a presumption that the law favors arbitration as an interpretive presumption.

The Unconscionability Defense. The doctrine of unconscionability has a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. *Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal. 4th 1109, 1133. Both must be present; however, “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to conclude that the term is unenforceable, and vice versa.” *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114. The party asserting unconscionability bears the burden of proof. *AT&T Mobility LLC v. Conception* (2011) 563 U.S. 333; *Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1142 (“unconscionability remains a valid defense to a petition to compel arbitration”); *Engalla, supra*, 15 Cal.4th at 972 (party opposing arbitration bears the burden of proving any fact necessary to its defense).

Employment agreements requiring arbitration as a condition of employment may be enforceable. *Armendariz, supra*, 24 Cal.4th at 114 (adhesion does not by itself render a contract unenforceable; both procedural and substantive unconscionability must be present); *Fittante v. Palm Springs Motors, Inc.* (2003) 105 Cal.App.4th 708, 722.

“The procedural element of an unconscionable contract generally takes the form of a contract of adhesion, which was imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” *Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1071. In *Sanchez v. Carmax Auto Superstores California, LLC* (2014) 224 Cal.App.4th 398, the court noted that absent other indicia of procedural unconscionability, no oppression or surprise was found in the stand-alone arbitration agreement given on a take-it-or-leave-it basis, which was not hidden but prominently featured as part of the employment application. *Id.* at 403. Further, the presence of a meaningful opportunity to opt out of an arbitration provision can defeat a claim of oppression. See, e.g., *Circuit City Stores, Inc. v. Mantor* (9th Cir. 2003) 335 F.3d 1101, 1106.

Contracts of adhesion “bear within them the clear danger of oppression and overreaching.” *Ramirez v. Charter Communications, supra*, 16 Cal.5th at 494 (internal quotations deleted). This is particularly true in the employment setting, “where economic pressure exerted by employers on all but the most sought-after employees may be particularly acute.” *Id.* Accordingly, courts “must be particularly attuned” to this danger in employment agreements. *Id.*; *Armendariz, supra*, 24 Cal.4th at 116.

Procedural Unconscionability. Delacruz argues that there is procedural unconscionability because, on her first day of work, she was presented with a packet of documents to review and sign on company premises before beginning to work. She was not under the impression that she could either accept or decline any terms or agree to arbitration or to consult with an attorney and was simply signing all the documents she was given. The documents were pre-printed. She had to sign them as a condition of employment.

Beena Beauty admits that there is some level of procedural unconscionability, that Delacruz has established “the ordinary, law level of procedural unconscionability that can exist when an arbitration agreement is presented during onboarding.” Reply Memorandum at 8. However, Beena Beauty points out that the agreement was not hidden, it was a separate document and referenced arbitration in its title. Immediately

above Delacruz's signature, the agreement states in bold and capitalized type that the parties waive the right to a jury trial (and the right to assert class claims).

Beena Beauty says its evidence shows that Delacruz was not rushed or pressured, could ask questions, and was not required to complete the agreement in a specific amount of time.

Beena Beauty points out that Delacruz's declaration appears to be misdated, stating the year as 2016, and arguing that this underscores that it should not be "used to disregard an authenticated written agreement bearing [Delacruz's] signature." Reply Memorandum at 9.

It seems clear that there was simply a typographical error in the date and that Delacruz signed it on August 21, 2026, not 2016, the date it was filed.

The Court finds that Delacruz has established some level of procedural unconscionability. The employer, Beena Beauty, has significantly more bargaining power than Delacruz. The contract is adhesive. It was on a pre-printed form prepared by the employer. Had she wanted to, she could not bargain as to its terms. It was presented on a take-it-or-leave-it basis. Although she does not say that she was under economic pressure to obtain this position, this appears to be the type of situation in which the Supreme Court has long admonished trial courts to be particularly attuned to the danger of overreaching by the employer.

However, the agreement was a stand-alone document. It did not hide that it was an arbitration agreement, but emphasized that the parties were agreeing to resolve their disputes by arbitration and not in court. The terms are not stated in small print. Although the agreement includes a number of legal references and legal language, it is limited to four pages and is broken into relatively short paragraphs with headings that make it easier to read than some arbitration agreements. Delacruz was not under time pressure to review and sign the document.

Substantive Unconscionability. Delacruz argues that the agreement is substantively unconscionable because it requires her to arbitrate claims unrelated to the employment relationship, survives the ending of that relationship indefinitely, and lacks mutuality because she is required to arbitrate claims against Beena Beauty's employees or agents but they are not obligated to arbitrate claims against her.

A brief review of recent cases addressing similar arguments is useful. In *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, the court of appeal affirmed the denial of a motion to compel arbitration. The arbitration agreement covered all claims, "whether or not arising out of Employee's University employment, remuneration or termination, that Employee may have against the University or any of its related entities, including ... officers, trustees, administrators, employees or agents, in their capacity as such or otherwise." *Id.* at 340. The agreement further stated: "The claims covered by this Agreement include, but are not limited to," a long list of claims related to employment (for instance, "claims for wages or other compensation due") and claims unrelated to employment (most notably, "claims for personal, physical, or emotional injury, or for any tort"). *Id.* The agreement "survive[d] the termination of Employee's employment" and lasted until "revoked or modified in a written document ... signed by the President of the University." *Id.*

The trial court found the agreement to be substantively unconscionable and denied the motion to compel arbitration. The court of appeal affirmed. The agreement was not limited to claims arising from the employment relationship. The trial court noted that the agreement was so broad that it would cover a medical malpractice claim if Cook were to be treated by a USC doctor or hospital long after her employment ended. *Id.* at 318. The agreement lacked mutuality because it required Cook to arbitrate claims against not just USC but also “related entities, including not just officers, trustees, administrators, employees and agents, but did not require them to arbitrate claims against her. *Id.* at 319. The trial court found that the central purpose of the agreement was to require Cook to arbitrate all possible disputes for an indefinite time, with USC able to move for arbitration of claims against it and its related entities but Cook was only able to compel arbitration of claims by USC against her. *Id.* at 329.

In *Stoker v. Blue Origin, LLC* (2026) 120 Cal.App.5th 91, the court of appeal also affirmed the denial of a motion to compel arbitration where the agreement applied to any and all claims between the company and the employee, not just those relating to the parties’ employment relationship, and defined the Company as Blue Origin and its parent, subsidiaries, affiliates, successors or assigns, as well as their current and former officers, directors, employees and agents. *Id.* at 107. The court of appeal followed *Cook*. *Id.* at 107-108.

Similarly, in *Pham v. Knight Sacramento SU, Inc.* (2026) 121 Cal.App.5th 641, the trial court found unconscionable an arbitration agreement that covered any claim, dispute or controversy that either party asserted against the other and covered claims against third party beneficiaries that included the employer’s “owners, directors, officers, managers, employees, agents, partners, attorneys, sister-companies, subsidiaries, parent companies, joint-venturers, affiliated persons/entities, independent contractors,” and others. *Id.* at 646. The court of appeal affirmed. *Id.* at 650.

In contrast, the court of appeals in *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241, affirmed an order denying a motion to compel arbitration and distinguished *Cook*. The trial court concluded that the agreement, in context, applied to only employment-related claims. The court of appeal concluded that the agreement was somewhat ambiguous, even though it required arbitration of “all claims, disputes, and/or controversies . . . , whether or not arising out of [Ayala-Ventura]’s employment or the termination of that employment” and included claims against not only the employer but its employees or agents in their capacity as employees or agents.” *Id.* at 255. But the court of appeal stated that even if it adopted the broader interpretation, the case was different than *Cook*, because the context was different—“the agreement in *Cook* was unconscionable in part because of the multifarious ways in which a claim against USC ‘completely unrelated to [Cook’s] employment’ could arise.” *Id.* at 257 (citing as an example the potential medical malpractice claim). In contrast, the employer in *Ayala-Ventura* was a commercial janitorial service and the court of appeal said it was “hard pressed to discern how a similarly vast range of claims completely unrelated to Ayala-Ventura’s employment could arise.” *Id.*

Cocum v. ABM Aviation, Inc. (9th Cir. 2026) 179 F.4th 1168, reversed an order denying a motion to compel arbitration. The Ninth Circuit held that where an arbitration agreement stated that it applied to “all claims,” but then stated including but not limited to a list of employment-related claims, the agreement was limited to employment-related claims. *Id.*

at 12-13¹, The Court noted that the agreement did not have language that was in the agreement in *Cook*. There was no language similar to “whether or not arising out of [Cook’s] university employment, remuneration, or termination.” *Id.* Applying the principle of ejusdem generis (of the same kind) was not possible in *Cook*--the enumeration of covered claims in *Cook* included claims unrelated to employment, such as a general reference to tort claims—but that was not present in the agreement in *Cocum*. The court noted that *Stoker* also included in the list of covered claims some unrelated to the employment relationship. *Id.* at 14.

Here, the agreement is not limited to claims related to the parties’ employment relationship. It states that the parties agree to “resolution by arbitration of all claims, disputes, and/or controversies . . . , whether or not arising out of Employee’s employment or the termination of employment, that Company may have against Employee or that Employee may have against Company or against its employees or agents in their capacity as employees or agents.” The agreement then states that it includes, but is not limited to claims related to the employment relationship, but the list includes “claims for breach of any contract . . . ; tort claims;” that are not necessarily employment related.

Thus, the language of agreement is similar to that in *Cook*, *Stoker*, and *Pham*. It covers all claims. In contrast to *Cocum*, the Court is unable to apply the limiting principle of ejusdem generis. As explained by that court, the agreement it construed did not have the “whether or not” language that was present in *Cook* and is present here. Further, as in *Cook*, there is a general reference to tort claims, not a more specific reference to tort claims arising from the parties’ employment relationship.

Therefore, the Court finds that the agreement is overbroad as to scope.

This makes the agreement’s indefinite term more problematic. If the agreement were limited to claims arising from or relating to the employment relationship, then perhaps the agreement would, in effect, have a termination date—the expiration of the limitations period, three or perhaps four years after the ending of the relationship. But because it is not limited to claims concerning the employment relationship, it might apply to claims arising many years in the future. The *Cook* trial court gave as an example a medical malpractice claim that might arise if the former employee were treated at a USC hospital or clinic many years after leaving her employment.

Similarly, Delacruz suggests that she might be forced to arbitrate claims arising long after her employment ends if she had claims against Beena Beauty, which operates at least 15 stores across Southern California. She refers to the “probability of potential tort claims arising out of [her] future commercial relationship with Defendants” and contrasts that with the speculative nature of future claims in *Ayala-Ventura*. Opposition Memorandum at 7-8.

To be sure, in *Stoker*, the Court of Appeal found the possibility that the employee’s home might be struck by debris from a Blue Origin rocket striking his home as a definite enough to render the agreement substantively unconscionable.

This case presents a situation much more like that in *Ayala-Ventura* than *Cook* or *Stoker*. Fifteen retail beauty stores are not an insignificant number, but it is a tiny fraction of the

1 Because the case is so recent, the official report pagination is not yet available. The citation is to the page in the slip opinion.